QUARTERLY INVESTOR REPORT

Oakmont Villas | Sacramento, CA

Investment	Oakmont Villas
Quarter	4Q 2024
Report Date	December 30, 2021
Sponsor	Keel & Compass Properties
Occupancy	96.3%

Business Plan Progress

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Resident turnover has averaged 10.7% annually with renewal retention above 90.4%. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet.

Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 13.0% annually with renewal retention above 96.9%. Distributions to investors for the quarter were paid at an annualized rate of 7.3% on contributed capital.

Leasing and Marketing

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 43 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 35th business day. Collections for the period were 88.6% of billed charges, with bad debt of 5.7% of gross potential income. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The manager completes a monthly walk of the property and submits a variance report to the owner by the 32th business day. Collections for the period were 89.8% of billed charges, with bad debt of 3.4% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 47 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Investor Distributions

The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Projected levered IRR is 3.5% with an equity multiple of 1.31x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Distributions to investors for the quarter were paid at an annualized rate of 5.2% on contributed capital. Resident turnover has averaged 10.9% annually with renewal retention above 92.0%. Projected levered IRR is 9.7% with an equity multiple of 1.13x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns.

Management Commentary

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 17th business day. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Service requests are tracked through a work-order system with an average completion time of 33 hours. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 33th business day.

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Business Plan Progress

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 2.7% annually with renewal retention above 95.4%. The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Resident turnover has averaged 7.7% annually with renewal retention above 90.7%. Distributions to investors for the quarter were paid at an annualized rate of 4.6% on contributed capital.

Leasing and Marketing

Collections for the period were 92.1% of billed charges, with bad debt of 7.1% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Resident turnover has averaged 12.5% annually with renewal retention above 92.0%. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 22 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 34 hours.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Service requests are tracked through a work-order system with an average completion time of 39 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Investment Overview

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 5.6% on contributed capital. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

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Property Operations

Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 11 additional team members. Collections for the period were 88.7% of billed charges, with bad debt of 7.6% of gross potential income. Resident turnover has averaged 10.5% annually with renewal retention above 91.4%.

Resident turnover has averaged 7.7% annually with renewal retention above 90.9%. Collections for the period were 90.8% of billed charges, with bad debt of 7.4% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 18 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Investment Overview

Distributions to investors for the quarter were paid at an annualized rate of 3.4% on contributed capital. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

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Property Operations

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 3.4% annually with renewal retention above 91.2%. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Service requests are tracked through a work-order system with an average completion time of 15 hours.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Storefront glazing	Interior	05/01/25	Q3 2027	$527,000	$534,290	Complete
Storefront glazing	Interior	10/15/26	Q4 2026	$529,000	$272,268	In progress
Security camera upgrade	Life Safety	08/10/24	Q2 2026	$534,000	$404,223	Approved
Fence replacement	Site	05/12/26	Q3 2025	$125,000	$25,901	Bidding
Exterior paint	Site	09/25/23	Q3 2027	$640,000	$671,479	In progress
Security camera upgrade	Interior	01/28/26	Q1 2026	$309,000	$59,993	Complete
Amenity renovation	Building	02/01/23	Q3 2025	$625,000	$423,201	In progress
Exterior paint	Interior	09/07/26	Q3 2027	$465,000	$205,383	In progress
Amenity renovation	Site	06/06/24	Q4 2025	$769,000	$59,132	Complete
Parking lot resurfacing	Life Safety	08/09/23	Q4 2026	$764,000	$688,110	In progress
Amenity renovation	Building	11/04/23	Q1 2027	$66,000	$6,715	Approved
HVAC replacement	Interior	09/10/26	Q4 2025	$416,000	$409,742	Bidding
Landscape / irrigation	Building	11/20/26	Q2 2027	$550,000	$171,191	Bidding
Lobby renovation	Site	12/17/24	Q2 2025	$231,000	$74,038	In progress
Door hardware	Site	02/22/26	Q1 2026	$131,000	$70,427	In progress
Pool resurfacing	Energy	06/04/24	Q2 2025	$797,000	$353,649	In progress
Exterior paint	Life Safety	01/20/24	Q4 2026	$191,000	$1,705	Deferred
Security camera upgrade	Energy	11/10/24	Q4 2027	$543,000	$344,968	Bidding
Sewer line repair	Site	08/08/26	Q2 2026	$448,000	$21,152	Approved
HVAC replacement	Site	06/17/26	Q3 2027	$67,000	$411	Deferred
Unit interior upgrades	Site	02/02/26	Q1 2027	$613,000	$6,358	In progress
Fire alarm panel upgrade	Building	06/22/26	Q4 2027	$598,000	$146,535	Deferred
Elevator modernization	Building	03/09/23	Q2 2026	$658,000	$343,060	Approved
Unit interior upgrades	Building	06/27/24	Q1 2026	$648,000	$465,628	Bidding
LED lighting retrofit	Site	07/02/25	Q2 2027	$452,000	$186,927	Deferred
Amenity renovation	Interior	06/28/25	Q3 2027	$833,000	$490,140	Bidding
Roof replacement - Bldg D	Site	09/15/23	Q1 2025	$592,000	$244,815	In progress
Landscape / irrigation	Building	08/11/24	Q2 2025	$217,000	$99,192	In progress
Water heater replacement	Building	05/15/24	Q4 2026	$64,000	$48,490	In progress
LED lighting retrofit	Interior	09/26/25	Q4 2026	$452,000	$12,690	Bidding
Parking lot resurfacing	Life Safety	05/30/26	Q1 2026	$80,000	$7,146	Approved
Sewer line repair	Life Safety	01/13/25	Q2 2027	$139,000	$133,664	Deferred
Sewer line repair	Building	06/13/25	Q3 2026	$56,000	$3,350	Approved
Unit interior upgrades	Building	01/31/24	Q1 2027	$657,000	$410,453	Complete
Amenity renovation	Life Safety	09/17/26	Q3 2027	$257,000	$7,327	Complete
Pool resurfacing	Energy	02/12/23	Q1 2027	$14,000	$780	In progress
Landscape / irrigation	Energy	02/28/26	Q4 2026	$96,000	$10,911	Complete
Signage / monument	Interior	05/18/26	Q3 2025	$734,000	$141,686	Complete
Exterior paint	Life Safety	08/16/23	Q3 2027	$765,000	$720,872	Approved
Exterior paint	Building	06/23/25	Q3 2026	$793,000	$188,631	Bidding
ADA compliance	Interior	12/03/23	Q1 2025	$118,000	$28,541	Bidding

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Operating Performance

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Debt service coverage ratio was 7.28x on a trailing basis against a covenant minimum of 1.20x. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 2.4% annually with renewal retention above 95.0%. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Management fees are calculated at 4.0% of collected revenue and are included in operating expenses. Resident turnover has averaged 2.8% annually with renewal retention above 89.4%. Effective gross income for the trailing period was $215,000, representing a 2.7% increase over the prior year.

Supply and Demand

Investor demand for Multifamily assets in Sacramento remains strong with recent trades at capitalization rates between 5.36% and 5.36%. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Employment growth is led by healthcare, logistics, education and professional services sectors. Median household income within a 2-mile radius of the property is approximately $350,000 and has grown 9.7% annually. Rent growth in the submarket has averaged 4.8% annually over the past 3 years. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

The Sacramento Multifamily market has experienced absorption of 3400 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Rent growth in the submarket has averaged 6.1% annually over the past 10 years. Resident turnover has averaged 9.1% annually with renewal retention above 95.2%. Oakmont Villas is located in Sacramento, CA, a market that has recorded 9.9% population growth over the last five years.

Financial Analysis

Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. The going-in capitalization rate of 6.65% reflects the in-place income and the stabilized occupancy assumption. Resident turnover has averaged 6.8% annually with renewal retention above 96.5%. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Operating expenses totaled $57,000 or approximately 38.78 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 7.7% over the hold period.

Net operating income is projected to grow at a compound annual rate of 4.8% over the hold period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Resident turnover has averaged 3.7% annually with renewal retention above 88.3%. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Operating expenses totaled $378,000 or approximately 26.54 per square foot, with real estate taxes representing the largest line item.

Demographics and Employment

Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. The Sacramento Multifamily market has experienced absorption of 2700 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Investor demand for Multifamily assets in Sacramento remains strong with recent trades at capitalization rates between 5.41% and 5.41%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Investor demand for Multifamily assets in Sacramento remains strong with recent trades at capitalization rates between 6.53% and 6.53%. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Resident turnover has averaged 8.1% annually with renewal retention above 96.6%. Median household income within a 8-mile radius of the property is approximately $29,000 and has grown 4.4% annually. The Sacramento Multifamily market has experienced absorption of 400 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

Income and Expense Review

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. The going-in capitalization rate of 5.16% reflects the in-place income and the stabilized occupancy assumption.

Operating expenses totaled $320,000 or approximately 9.18 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 7.07x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 3.8% of collected revenue and are included in operating expenses. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet.

Submarket Analysis

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$346,417	$372,620	$390,782	$44,365	12.8%	$1,281.25
5010 Loss to Lease	$200,798	$213,889	$228,799	$28,001	13.9%	$750.16
5020 Vacancy Loss	$161,998	$155,406	$162,720	$722	0.4%	$533.51
5030 Concessions	$287,207	$280,440	$296,083	$8,875	3.1%	$970.76
5040 Bad Debt	$176,581	$188,839	$189,055	$12,474	7.1%	$619.85
5050 Late Fees	$329,546	$334,691	$341,924	$12,378	3.8%	$1,121.06
5060 Utility Reimbursements	$251,675	$262,711	$266,058	$14,382	5.7%	$872.32
5070 Parking Income	$252,550	$247,779	$264,084	$11,534	4.6%	$865.85
5080 Application Fees	$26,175	$25,342	$26,290	$115	0.4%	$86.20
5090 Pet Rent	$99,593	$94,461	$95,731	-$3,862	-3.9%	$313.87
5100 Laundry Income	$325,434	$342,711	$351,415	$25,981	8.0%	$1,152.18
5110 Cable/Internet Revenue	$318,394	$327,018	$336,562	$18,168	5.7%	$1,103.48
5120 CAM Reimbursements	$403,227	$388,420	$403,511	$284	0.1%	$1,322.99
5130 Tax Reimbursements	$37,121	$36,297	$37,095	-$26	-0.1%	$121.62
5140 Insurance Reimbursements	$426,937	$406,722	$425,409	-$1,528	-0.4%	$1,394.78
5150 Percentage Rent	$419,450	$446,338	$472,264	$52,813	12.6%	$1,548.41
5160 Misc. Income	$158,641	$169,587	$173,914	$15,273	9.6%	$570.21
5170 Payroll - Management	$24,899	$25,124	$26,288	$1,389	5.6%	$86.19
5180 Payroll - Leasing	$138,728	$134,323	$140,194	$1,466	1.1%	$459.65
5190 Payroll - Maintenance	$198,182	$205,206	$207,797	$9,615	4.9%	$681.30
5200 Payroll Taxes & Benefits	$324,144	$337,603	$344,910	$20,766	6.4%	$1,130.85
5210 Repairs - Plumbing	$94,696	$102,219	$107,861	$13,165	13.9%	$353.64
5220 Repairs - HVAC	$441,605	$418,526	$429,128	-$12,477	-2.8%	$1,406.98
5230 Repairs - Electrical	$399,290	$390,775	$405,963	$6,673	1.7%	$1,331.03
5240 Repairs - Appliances	$327,360	$317,213	$328,160	$800	0.2%	$1,075.94
5250 Painting & Decorating	$368,021	$387,689	$401,977	$33,956	9.2%	$1,317.96
5260 Flooring	$261,076	$278,101	$286,228	$25,152	9.6%	$938.45
5270 Make-Ready / Turnover	$325,175	$318,832	$337,841	$12,666	3.9%	$1,107.68
5280 Landscaping Contract	$150,194	$158,513	$169,144	$18,949	12.6%	$554.57
5290 Snow Removal	$440,711	$418,819	$420,082	-$20,629	-4.7%	$1,377.32
5300 Janitorial	$268,316	$268,322	$269,211	$894	0.3%	$882.66
5310 Pest Control	$43,889	$42,597	$42,857	-$1,032	-2.4%	$140.51
5320 Trash Removal	$277,433	$263,586	$280,090	$2,657	1.0%	$918.33
5330 Elevator Contract	$402,379	$403,603	$404,615	$2,236	0.6%	$1,326.61
5340 Fire & Life Safety	$75,576	$79,305	$79,669	$4,093	5.4%	$261.21
5350 Security	$291,936	$303,883	$311,544	$19,608	6.7%	$1,021.46
5360 Electricity - Common	$138,825	$143,442	$150,208	$11,383	8.2%	$492.48
5370 Gas - Common	$279,229	$272,168	$288,861	$9,633	3.4%	$947.09
5380 Water & Sewer	$249,158	$267,036	$284,199	$35,041	14.1%	$931.80
5390 Telephone/Internet	$136,693	$128,231	$129,020	-$7,673	-5.6%	$423.02

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Investment Overview

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 8.5% annually with renewal retention above 95.7%. Distributions to investors for the quarter were paid at an annualized rate of 7.9% on contributed capital.

Resident turnover has averaged 9.9% annually with renewal retention above 95.5%. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet.

Management Commentary

Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Collections for the period were 90.8% of billed charges, with bad debt of 7.4% of gross potential income. Resident turnover has averaged 6.9% annually with renewal retention above 97.0%. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The manager completes a monthly walk of the property and submits a variance report to the owner by the 5th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 41 additional team members.

Investor Distributions

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Projected levered IRR is 6.0% with an equity multiple of 1.3x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Resident turnover has averaged 4.0% annually with renewal retention above 88.8%.

The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. Resident turnover has averaged 3.5% annually with renewal retention above 93.3%. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Management Commentary

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 31 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 45th business day. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 42th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 89.9% of billed charges, with bad debt of 4.3% of gross potential income. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Business Plan Progress

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 6.7% with an equity multiple of 1.8x over the hold period. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Distributions to investors for the quarter were paid at an annualized rate of 5.1% on contributed capital. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. Resident turnover has averaged 9.6% annually with renewal retention above 90.8%.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 11.0% with an equity multiple of 1.37x over the hold period.

Management Commentary

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Time is of the essence with respect to each and every provision of this instrument. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. This document relates solely to Oakmont Villas and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of CA. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. This document relates solely to Oakmont Villas and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

Each party represents that it has full power and authority to enter into and perform its obligations hereunder. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. Time is of the essence with respect to each and every provision of this instrument. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. This document relates solely to Oakmont Villas and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. Time is of the essence with respect to each and every provision of this instrument. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. This document relates solely to Oakmont Villas and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only